Then the world changed. As the conflicts in Ukraine and then Iran unfolded, Sharma watched the global space industry pivot.

"All of these conflicts led us to evolving as a defence company. That's when we figured out our go-to-market," says Sharma. "You've seen companies in earth observation that initially started as commercial observation companies, but today they're heavily into defence, and all the data they generate from orbit goes to intelligence agencies — because they have more willingness to pay, and there is a pathway. The demand is already created." Digantara pivoted from space situational awareness to a space surveillance and intelligence company.

"If you map out the economic activity in the space industry, 70% of revenue is coming from government and defence for all companies, regardless of what they do, and 30% is coming from commercial customers and other businesses," says Sharma. "Unless you do something which can directly impact an individual's life—like Starlink providing internet to consumers—you're doing B-to-G or B-to-B."

Even before Starlink and the Falcon 9, NASA had selected SpaceX for its Commercial Orbital Transportation Services programme, providing up to $396 million to develop the Dragon spacecraft and Falcon 9. NASA later awarded SpaceX contracts worth $1.6 billion for 12 commercial resupply missions to the International Space Station.

Then Starlink became SpaceX's own captive customer, generating a steady need to put satellites into orbit. That demand allowed SpaceX to fly frequently, build launch cadence and spread costs over a much larger number of missions, helping other companies to send their payloads into orbit, eventually bringing down the cost of launch.

India doesn't have an equivalent captive customer. Its launch companies need demand to achieve the scale that would make their rockets economical, but the market is too small to provide anything like Starlink's stream of satellite orders. That leaves them with two broad routes to commercial scale: find a market abroad or help create enough demand at home.

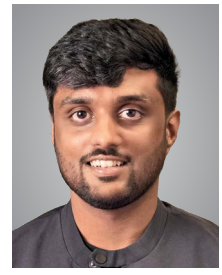
The first means competing globally. "But a smaller Indian company cannot simply offer the same product as a better-funded American or European rival and expect customers to switch," says Radha Krishna Kavuluru, a former scientist at Isro and a spacetech entrepreneur. "There are essentially two ways to win a global customer: be dramatically cheaper, or offer something sufficiently different that price is no longer the deciding factor."

Finland's ICEYE illustrates the second route. By putting synthetic-aperture radar into small satellites, it created a capability that had traditionally required much larger spacecraft. The differentiation gave customers a reason to buy its data, rather than simply choose a cheaper version of a product.

The alternative is to build the market at home. There are already pieces in the pipeline: Reliance Jio's plan for a sovereign satellite constellation and government's space surveillance mission are some examples. The largest is satellite broadband, where global players, including SpaceX's Starlink, are waiting to launch in India.

But companies need visibility beyond the programmes and tenders already on the table. "If the government knows it will need particular capabilities several years from now, publishing that direction could allow companies to develop the technologies and manufacturing capacity before orders arrive," says Kavuluru.

Companies need enough predictable demand to invest, build capacity and keep selling. The question is not simply whether India can produce another Skyroot, Pixxel or Digantara. It is whether the country can create the conditions under which these companies have enough demand to keep building, flying and selling. SpaceX had NASA first and Starlink later. India will need to find its own Starlink moment. BT



"Even before SpaceX launched the Falcon, they had contracts from NASA, defence. We don't yet have that established mechanism to win contracts at a developmental stage"

ANIRUDH SHARMA
FOUNDER & CEO, DIGANTARA